AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

1 June 2026 · the qualitative

Apple

$291.13

NASDAQ : AAPL · Mature-Company DCF

$4302B mkt cap · 14.78B sh · $54.7B cash, $90.7B net debt · Net debt ~$36B ($54.7B cash vs ~$90.7B total debt); ~14.78B shares, shrinking on a fresh $100B buyback + dividend raise; Revenue $416B FY25 (+6%); GAAP op margin ~32%; FCF ~$99B; Services ~$31B/quarter at ~70%+ gross margin; ~$291 (Jun 2026), +56% TTM, near the ~$315 ATH; iPhone ~50% of revenue, Greater China reaccelerating (+28%)

THE CENTRAL QUESTION

Does a mid-single-digit grower at ~43x FCF, with AI outsourced to Gemini and a ~$20B/yr Google-payment cliff, justify a premium the modal can't underwrite?

Apple trades at ~$4.30T (~$291/sh, +56% TTM) - about 43x ~$99B FCF on $416B mid-single-digit revenue, with ~$36B net debt. Services compounds mid-teens at ~70%+ gross margin, but iPhone is still ~50% of revenue, AI is outsourced to Gemini, and the ~$20B/yr Google search payment faces a DOJ rebid. The DCF resolves whether quality justifies the multiple: weighted -34.5%, modal ~$188 (-35%).

PROBABILITY-WEIGHTED EXPECTED VALUE

$190.57 expected fair value today

-34.5% vs spot $291.13

FORWARD COMPOUNDED VALUE

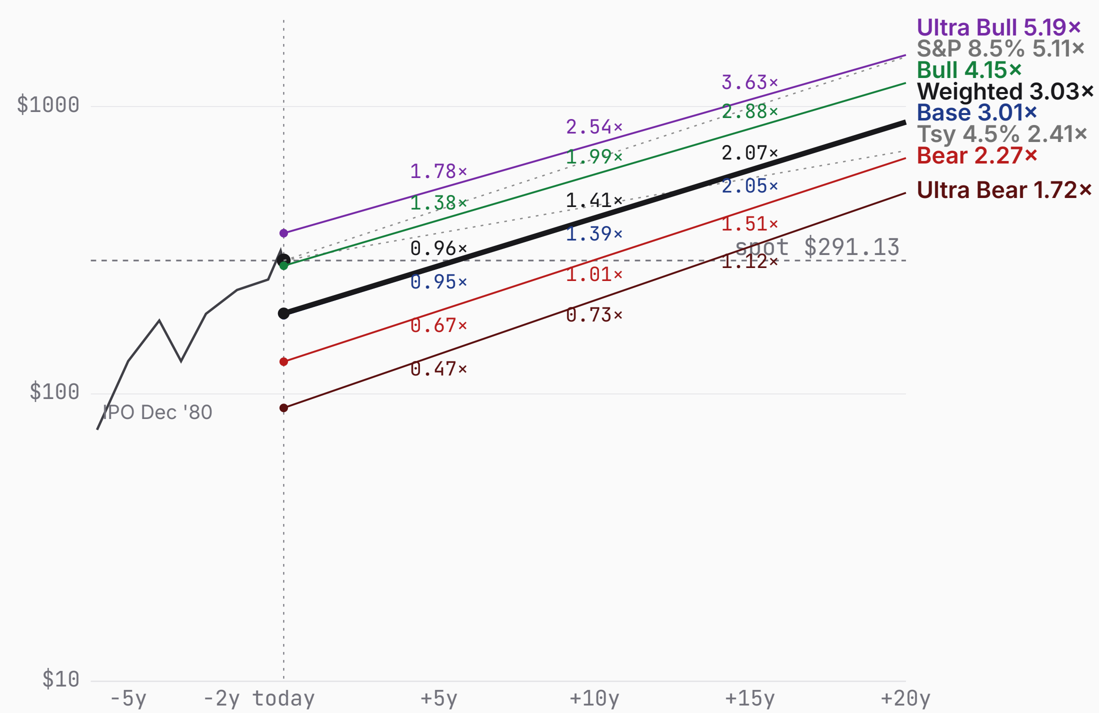
+5y	+10y	+15y	+20y
$279.41	$409.85	$601.45	$883.03
0.96× spot	1.41× spot	2.07× spot	3.03× spot

WEIGHTING RATIONALE

Ultra Bear 13% iPhone stalls and the Services tails crystallize; ~$89 (-69%).
Bear 27% Low-single-digit growth; the multiple compresses; ~$129 (-55%).
Base 33% Services compounds, iPhone steady, but still rich; ~$188 (-35%).
Bull 19% AI-era ecosystem deepens and search risk fades; ~$279 (-4%).
Ultra Bull 8% Services step-change; FCF/share compounds; ~$362 (+25%).

Bull (19%) + Ultra Bull (8%) together contribute $82.04 — 43% of the $190.57 expected value despite 27% combined probability. Today's spot ($291.13) sits 53% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$89.39	$129.46	$187.74	$279.18	$362.45
-69.3% vs spot	-55.5% vs spot	-35.5% vs spot	-4.1% vs spot	+24.5% vs spot
CAGR +2.0% WACC 9.0%	CAGR +4.4% WACC 8.5%	CAGR +6.2% WACC 8.0%	CAGR +8.2% WACC 7.6%	CAGR +10.0% WACC 7.4%
CAGR +2.0% Prob 13%	CAGR +4.4% Prob 27%	CAGR +6.2% Prob 33%	CAGR +8.2% Prob 19%	CAGR +10.0% Prob 8%
iPhone stalls; Services tails crystallize.	Low-single-digit growth; multiple compresses.	Services compounds; iPhone steady; still rich.	AI-era ecosystem deepens; search risk fades.	Services step-change; FCF/share compounds hard.

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LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Apple scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 27% Base 33% Bull 19% Ultra Bull 8% · Weighted expected $190.57 (-34.5% vs spot)

ULTRA BEAR $89.39

-69.3% vs spot

Probability 13%

iPhone stalls; Services tails crystallize.

WHY 13%

The genuine bear: iPhone is ~50% of revenue and partly pulled forward, the search payment must be rebid annually under the DOJ ruling, and App Store fees face regulatory pressure on two continents. 13% weight on the tails crystallizing together.

WHAT HAPPENS

The hardware engine flattens and the twin regulatory tails land: iPhone revenue stagnates as the upgrade super-cycle pays back, the ~$20B/yr Google search payment is cut or competed away, and EU/US App Store fee erosion bites high-margin Services. Revenue grows ~2%/yr and FCF margin compresses toward ~20% as the mix shifts away from the most profitable dollars.

A flat hardware franchise losing its richest Services rents re-rates to a mid-teens FCF multiple → DCF ~$89 (-69%). Net debt offers no cushion here; the de-rate is the multiple meeting the growth.

BEAR $129.46

-55.5% vs spot

Probability 27%

Low-single-digit growth; multiple compresses.

WHY 27%

Share and ecosystem hold, but mid-single-digit growth can't carry a premium multiple while the search-payment and fee tails hang over Services. 27% as the plausible 'durable but slow' path.

WHAT HAPPENS

Apple keeps the ecosystem but the growth stays muted: iPhone replacement cycles lengthen, Services compounds but off a base partly funded by the at-risk search payment, and tariff/India cost drag (~5-8% premium) trims gross margin. Revenue compounds ~4% at a ~23% FCF margin.

DCF ~$129 (-55%) — a durable but slow-growing franchise at ~19x terminal FCF is worth well below 43x; the gap between today's multiple and mid-single-digit growth is the whole bear.

BASE $187.74

-35.5% vs spot

Probability 33%

Services compounds; iPhone steady; still rich.

WHY 33%

Requires Services to keep compounding and the iPhone base to stay sticky through the AI-platform shift — consistent with FQ2's record Services and China rebound, but not a re-acceleration. 33% as the central, still-rich outcome.

WHAT HAPPENS

The modal path: Services compounds mid-teens at ~70%+ gross margin on a 2.5B+ installed base, the iPhone 17 cycle and China reacceleration keep hardware steady, and the Gemini-powered Siri keeps users locked in. Revenue compounds ~6% to ~$555B at a ~25% FCF margin, with buybacks shrinking the share count.

DCF ~$188 (-35%) — even crediting durable Services growth and a defended ecosystem, a ~23x terminal FCF multiple lands well below the ~43x paid today; the modal case says the price embeds quality and safety beyond what the cash flows underwrite.

BULL $279.18

-4.1% vs spot

Probability 19%

AI-era ecosystem deepens; search risk fades.

WHY 19%

Services + the AI-era ecosystem stay sticky, the search payment holds, and China momentum continues — the FQ2 trends extended. ~19% weight on the franchise compounding without the tails biting.

WHAT HAPPENS

The ecosystem wins the AI era on someone else's model: the Gemini-powered Apple Intelligence raises engagement and Services attach, the search payment survives the rebid intact, and the installed base feeds a higher-margin Services mix. Revenue compounds ~8% to ~$600B and FCF margin lifts toward ~27%.

DCF ~$279 (-4%) — even the bull only reaches roughly today's price; an upper-single-digit grower at a sustained high-20s FCF multiple essentially validates spot rather than beating it.

ULTRA BULL $362.45

+24.5% vs spot

Probability 8%

Services step-change; FCF/share compounds hard.

WHY 8%

Everything compounds — Services AND margins AND buyback leverage AND no regulatory hit — the quality-compounder outcome. ~8%, the long-duration tail that justifies the premium if it lands.

WHAT HAPPENS

The full upside: Services reaccelerates on AI features and new monetization, hardware finds a fresh wedge (wearables, new categories), gross margin holds near 49%, and the ~$100B buyback compounds FCF/share on a shrinking count. Revenue compounds ~10% to ~$640B at a ~30% FCF margin.

DCF ~$362 (+25%) — the only scenario that clears spot, and only if Services takes a genuine step-change and the multiple stays in the low-30s. ~8% probability, the asymmetric upside the premium is paying for.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

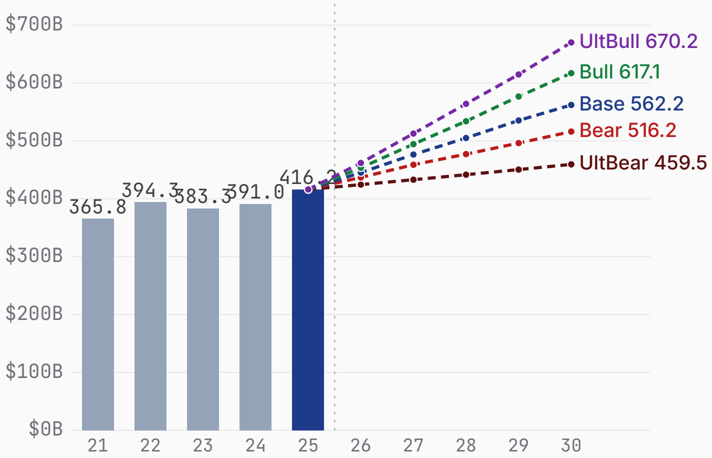
1 June 2026 · the snapshot

Apple business snapshot

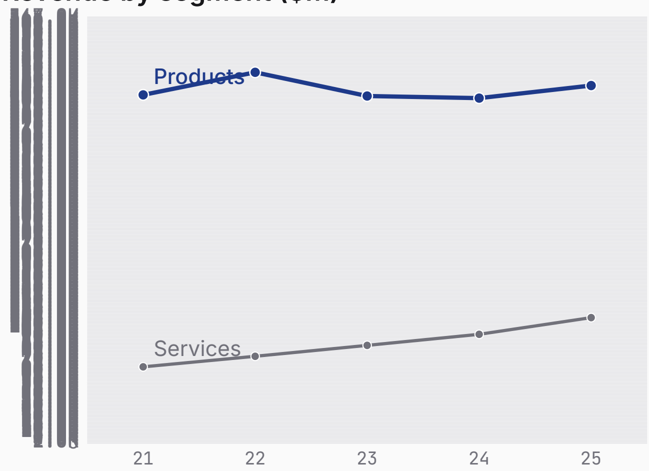
Bear $129.46 Base $187.74 Bull $279.18

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Sept · FQ2 2026 (Apr-2026) results

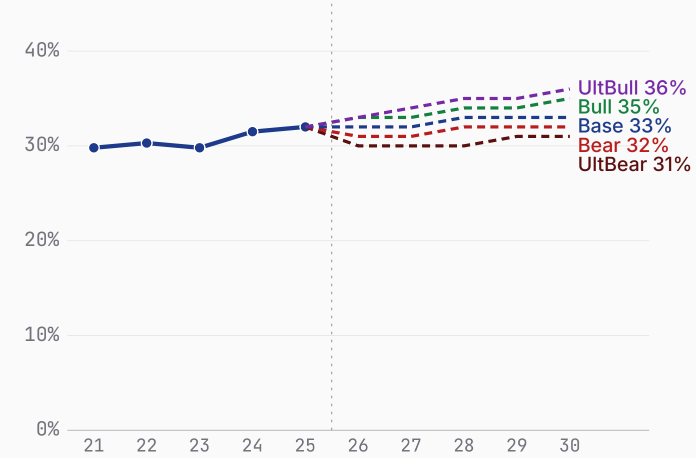
Revenue ($B) — history + scenarios to FY30



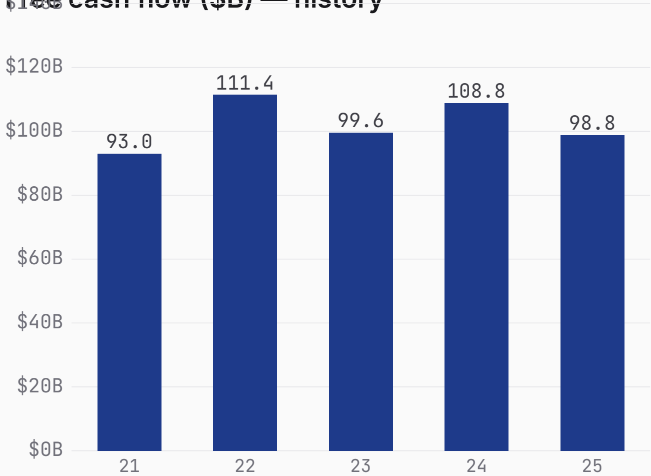
Revenue by segment ($M)



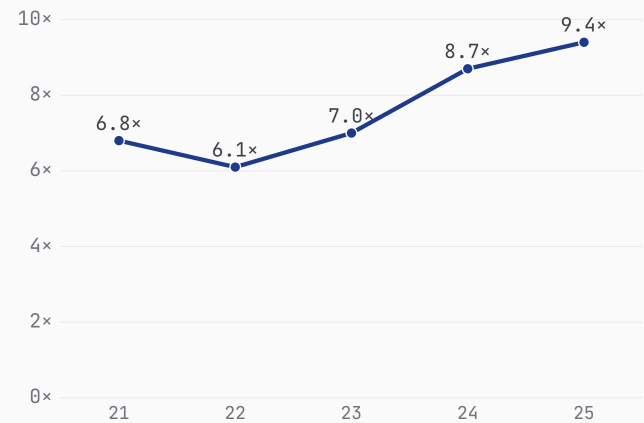
Op margin — history + scenarios



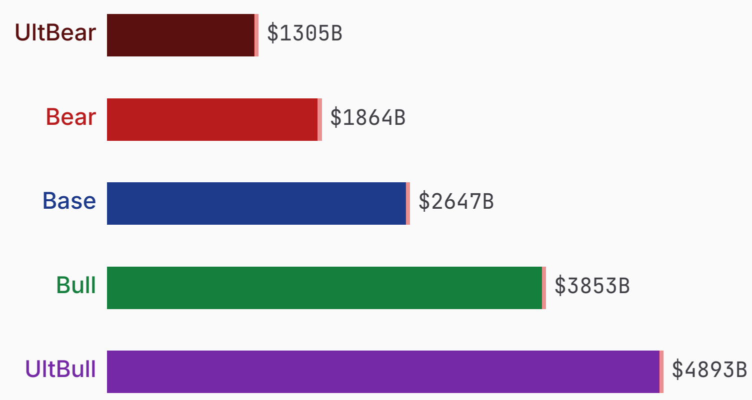
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV − net debt)



Op EV · cash · special assets

Sources: SEC XBRL company facts (CIK 320193; revenue, GAAP operating income/margin, cash flow, debt), Apple FQ2 2026 release (revenue $111.2B +17%, iPhone $56.99B +22%, Services $30.98B +16% at an all-time high, Greater China $20.5B +28%, gross margin 49.3% guided down to 47.5-48.5% on higher memory cost). Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs mega-cap peers (MSFT/GOOGL/NVDA).

Apple 7 Powers · the moat, scored

Bear $129.46 Base $187.74 Bull $279.18

Arena. Premium consumer hardware + a high-margin Services ecosystem - Apple vs Samsung/Google (phones), Microsoft/Google (platforms/AI), and the App Store/payments field; auditing a branding + switching-costs Power against the AI-platform shift.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies	Massive purchasing/manufacturing and R&D scale across ~$416B revenue; among the deepest in consumer tech, though not the single dominant Power.
Network Economies	iMessage/FaceTime/AirDrop and the developer ecosystem create modest network pull, but the lock-in is more switching cost than true network effect.
Counter-Positioning	Largely the incumbent now; the privacy-and-integration stance differentiates but rivals can and do copy it - not a structural counter-position.
Switching Costs	Deep ecosystem lock-in: iCloud, App Store purchases, Watch/AirPods/Mac continuity, iMessage - leaving means abandoning a connected device estate; a core durable Power.
Branding · thesis leans here	The strongest Power: the premium global brand commands pricing power and ~49% gross margin and anchors a 2.5B+ installed base; decades-durable.
Cornered Resource	In-house silicon (A/M-series) is a real edge and the developer base is sticky, but neither is a fully cornered, irreplaceable resource.
Process Power	World-class supply-chain and silicon-design execution (Cook's operational machine); a genuine but partly replicable advantage.

PEER SET

Samsung — 5% gr · 10% mgn · ~12x P/E
The premium-Android hardware rival; competes on phones/wearables but lacks Apple's Services ecosystem and margin.

Alphabet (GOOGL) — 15% gr · 32% mgn · ~24x P/E
Owns Android + Gemini; the AI-platform threat and Apple's ~$20B search-payment counterparty all at once.

Microsoft (MSFT) — 13% gr · 45% mgn · ~33x P/E
The other quality mega-cap compounder; the platform/AI peer Apple's multiple is benchmarked against.

Samsung Electronics / Xiaomi — 8% gr · 8% mgn · ~10x P/E
High-volume Android OEMs pressuring iPhone share in China/India at lower price points.

THREAT VECTORS · FALSIFIERS

Switching Costs · The AI-platform shift (Gemini/agent layer)
`falsifier:` An AI agent layer that disintermediates the iOS interface and erodes ecosystem lock-in - measurable as Services attach/engagement flattening.

Branding · Regulators (DOJ search remedy + EU/US App Store)
`falsifier:` The ~$20B Google search payment is cut on rebid and App Store fee remedies take hold, draining the highest-margin Services dollars.

Scale Economies · Tariffs + India supply shift
`falsifier:` Gross margin slips below ~46% as the ~5-8% India cost premium and tariff drag (~$900M/quarter) outrun price.

> **COMPETITIVE READ**
> Apple's brand is the strongest single Power in this set - a premium global franchise with ~49% gross margin and pricing power - reinforced by deep ecosystem switching costs and immense scale; durability is high. But the live threat is the AI-platform shift: with Apple Intelligence outsourced to Gemini, the next interface may run on someone else's model, and that same counterparty anchors a ~$20B/yr search payment now exposed to a DOJ rebid. The Powers are durable; the question the DCF presses is price, not moat. A mid-single-digit grower at ~43x FCF carries a premium even the bull (~$279, -4%) barely justifies, and the modal case lands ~$188 (-35%).

Apple show your work

Bear $129.46 Base $187.74 Bull $279.18 · Weighted $190.57 (-34.5%)

ULTRA BEAR $89.39

ASSUMPTIONS

5y revenue CAGR (%)	+2.0
Year-5 op margin (%)	31.0
WACC (%)	9.0
Terminal growth (%)	2.5
5y revenue CAGR (%)	+2.0
Starting revenue ($B)	416.20
Scenario probability (%)	13

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	424.52	+30%	+84.91	+77.89
FY27	433.01	+30%	+86.60	+72.89
FY28	441.67	+30%	+92.75	+71.62
FY29	450.51	+31%	+94.61	+67.02
FY30	459.52	+31%	+96.50	+62.72

Σ PV explicit FCF	+352.15
+ PV terminal (g 2.5%)	989.01

EQUITY BUILD · $B & PER SHARE

Operating EV	$1341.16B
+ Cash & investments	$54.70B
− Net debt	$90.70B
= Equity value	$1305.16B
FY30 shares (M)	14,600
= Expected per share	**$89.39**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$137.54	$211.62	$325.60	$500.98
0.47×	0.73×	1.12×	1.72×

BEAR $129.46

ASSUMPTIONS

5y revenue CAGR (%)	+4.4
Year-5 op margin (%)	32.0
WACC (%)	8.5
Terminal growth (%)	3.0
5y revenue CAGR (%)	+4.4
Starting revenue ($B)	416.20
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	437.01	+31%	+96.14	+88.61
FY27	458.86	+31%	+100.95	+85.75
FY28	477.21	+32%	+109.76	+85.93
FY29	496.30	+32%	+114.15	+82.37
FY30	516.16	+32%	+118.72	+78.95

Σ PV explicit FCF	+421.61
+ PV terminal (g 3.0%)	1478.55

EQUITY BUILD · $B & PER SHARE

Operating EV	$1900.16B
+ Cash & investments	$54.70B
− Net debt	$90.70B
= Equity value	$1864.16B
FY30 shares (M)	14,400
= Expected per share	**$129.46**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$194.66	$292.71	$440.13	$661.81
0.67×	1.01×	1.51×	2.27×

BASE $187.74

ASSUMPTIONS

5y revenue CAGR (%)	+6.2
Year-5 op margin (%)	33.0
WACC (%)	8.0
Terminal growth (%)	3.5
5y revenue CAGR (%)	+6.2
Starting revenue ($B)	416.20
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	445.33	+32%	+102.43	+94.84
FY27	476.51	+32%	+114.36	+98.05
FY28	505.10	+33%	+121.22	+96.23
FY29	535.40	+33%	+133.85	+98.38
FY30	562.17	+33%	+140.54	+95.65

Σ PV explicit FCF	+483.15
+ PV terminal (g 3.5%)	2199.98

EQUITY BUILD · $B & PER SHARE

Operating EV	$2683.13B
+ Cash & investments	$54.70B
− Net debt	$90.70B
= Equity value	$2647.13B
FY30 shares (M)	14,100
= Expected per share	**$187.74**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$275.85	$405.32	$595.54	$875.05
0.95×	1.39×	2.05×	3.01×

BULL $279.18

ASSUMPTIONS

5y revenue CAGR (%)	+8.2
Year-5 op margin (%)	35.0
WACC (%)	7.6
Terminal growth (%)	4.0
5y revenue CAGR (%)	+8.2
Starting revenue ($B)	416.20
Scenario probability (%)	19

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	453.66	+33%	+108.88	+101.19
FY27	494.49	+33%	+123.62	+106.78
FY28	534.05	+34%	+138.85	+111.46
FY29	576.77	+34%	+155.73	+116.18
FY30	617.14	+35%	+166.63	+115.53

Σ PV explicit FCF	+551.13
+ PV terminal (g 4.0%)	3337.49

EQUITY BUILD · $B & PER SHARE

Operating EV	$3888.62B
+ Cash & investments	$54.70B
− Net debt	$90.70B
= Equity value	$3852.62B
FY30 shares (M)	13,800
= Expected per share	**$279.18**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$402.67	$580.77	$837.66	$1,208.17
1.38×	1.99×	2.88×	4.15×

ULTRA BULL $362.45

ASSUMPTIONS

5y revenue CAGR (%)	+10.0
Year-5 op margin (%)	36.0
WACC (%)	7.4
Terminal growth (%)	4.0
5y revenue CAGR (%)	+10.0
Starting revenue ($B)	416.20
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	461.98	+33%	+115.50	+107.54
FY27	512.80	+34%	+133.33	+115.59
FY28	564.08	+35%	+157.94	+127.49
FY29	614.85	+35%	+178.31	+134.01
FY30	670.18	+36%	+201.06	+140.70

Σ PV explicit FCF	+625.33
+ PV terminal (g 4.0%)	4303.76

EQUITY BUILD · $B & PER SHARE

Operating EV	$4929.09B
+ Cash & investments	$54.70B
− Net debt	$90.70B
= Equity value	$4893.09B
FY30 shares (M)	13,500
= Expected per share	**$362.45**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$517.93	$740.10	$1,057.58	$1,511.24
1.78×	2.54×	3.63×	5.19×

Apple supporting analysis · disclaimers · glossary

Bear $129.46 Base $187.74 Bull $279.18

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The de-rate is the multiple, not the franchise.**
Apple is a genuine quality compounder, but a mid-single-digit grower at ~43x FCF prices safety beyond growth — even the bull only reaches ~$279 (-4%).

2 **The ~$20B Google payment is a discrete cliff.**
It is near-pure-margin Services that must be rebid annually under the DOJ ruling; losing it directly cuts the highest-quality earnings, and the bear/ultra-bear weight it.

3 **AI is outsourced, not owned.**
A custom Gemini behind the revamped Siri (~$1B/yr to Google) makes Apple a fast-follower on foundation models; the bull needs the ecosystem to win the AI era on someone else's stack.

4 **Services + installed base are the quality.**
~$31B/quarter of Services at ~70%+ gross margin on 2.5B+ devices is durable recurring earnings — the base/bull lean on it compounding mid-teens.

5 **iPhone is ~half the revenue and partly pulled forward.**
FQ2 iPhone +22% rode pent-up demand from ~315M users on 4+yr phones; a payback air-pocket is the bear's mechanism once the super-cycle clears.

FALSIFICATION TRIGGERS

Bull validation

Services growth holds mid-teens+ · iPhone upgrade cycle sustains · the Google search payment survives the rebid · gross margin defends ~47%+ · China revenue keeps reaccelerating

Bear validation

Services decelerates below ~10% · the search payment is cut or competed away · EU/US App Store fee remedies take hold · iPhone goes flat-to-down · gross margin slips below ~46%

Reframe needed

if the AI-platform shift cedes the next interface (a Gemini/agent layer that disintermediates iOS) or Services structurally stalls, re-rate the terminal toward a flat-hardware multiple - the ultra-bear's ~16x

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Services — Apple's recurring high-margin revenue (App Store, AppleCare, advertising, payments, subscriptions; ~$31B/quarter at ~70%+ gross margin) on a 2.5B+ device base - the quality engine.

Installed base — The >2.5B active Apple devices that drive Services attach and switching costs; its growth, not unit sales, anchors the mid-teens Services compounding.

Google search payment — The ~$20B/yr Google pays to be the default Safari search engine - near-pure-margin Services that must be rebid annually under the DOJ ruling; a discrete cliff.

Apple Intelligence — Apple's AI feature set; the revamped Siri runs a custom Google Gemini model (~$1B/yr) - AI partnered, not in-house.

FCF margin — Free cash flow / revenue (~24% FY25); whether the grower defends ~70%+-margin Services against the search-payment tails.